

Standard Operating Procedure

Tax & Cost Basis Data Quality Review

Version: 1.0

Last Updated: 09/17/2026

Owner: Tax & Cost Basis Operations Team

Purpose

This SOP defines the standard process for conducting monthly data quality reviews of securities transaction data to ensure accurate cost basis calculation and IRS tax reporting compliance.

Scope

Applies to all transaction data processed through the Tax & Cost Basis platform including BUY/SELL transactions, cost basis lot assignments, and 1099-B tax reporting records.

Process Steps

Step 1 — Run Data Quality Checks (Day 1-2 of month)

- Execute data_quality_checks.sql against current month data
- Document issue counts in the Data Quality Log
- Flag any variance > \$0.01 between calculated and recorded amounts

Step 2 — Triage Issues By Priority

Priority 1 — Immediate Action Required:

- Missing cost basis on tax reports
- Gain/loss calculation variances
- ERROR status transactions above \$10,000

Priority 2 — Resolve Within 5 Business Days:

- PENDING transactions older than 3 days
- Discrepancies in tax reporting status
- Missing price data on transactions

Priority 3 — Monitor:

- Zero quantity transactions
- Unreported records approaching IRS deadline

Step 3 — Generate Management Report

- Run analysis.py to produce summary statistics
- Run ai_analysis.py to generate executive summary
- Distribute to Operations Manager by Day 3

Step 4 — Resolution Tracking

- Log all issues in the Exception Tracking Report
- Update status daily until resolved
- Escalate unresolved Priority 1 items to team lead after 24 hours

Step 5 — Month End Sign-Off

- Confirm all Priority 1 issues resolved
- Validate IRS reporting status for all SELL transactions
- Archive monthly report with issue log

Key Contacts

- Operations Manager: [Name]
- Tax Reporting Lead: [Name]
- Product Team: [Name]

Related Documents

- Data Quality Check SQL Scripts
- Exception Tracking Report Template
- IRS 1099-B Filing Guidelines